RAM ENTERPRISE P&P 02_INVESTEMENT

Document quality

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Distribution List

Department	Access
Board	Full
Management	Full
Departments	Relevant sections

Document Hierarchy

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Level 1 – Policy
Level 2 – Procedure
Level 3 – Work Instruction
Level 4 – Forms / Templates
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02_Investment – Policy & Procedure Architecture (RAM P&P Manual)

We now move structurally (aligned with your WBS governance logic under 01_Governance) into:

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02_Investment
│
├── 02.1 Investment Strategy & Mandate
├── 02.2 Deal Sourcing & Origination
├── 02.3 Screening & Pre-Assessment
├── 02.4 Due Diligence
├── 02.5 Financial Modeling & Valuation
├── 02.6 Investment Committee & Approval
├── 02.7 Transaction Structuring & Execution
├── 02.8 Portfolio Monitoring & Value Creation
├── 02.9 Exit Strategy & Divestment
├── 02.10 Investment Risk & Compliance Controls
├── 02.11 Documentation & Records Management
```

Below is the **full WBS-coded breakdown** with Policies → Procedures → Forms → Controls (ISO 37301 + COSO aligned).

02.1 Investment Strategy & Mandate

02.1.1 Investment Strategy Policy

Purpose: Define investment thesis, sectors, geography, risk appetite, capital allocation model.

02.1.1.1 Portfolio Allocation Framework

- Asset class allocation
- Sector exposure limits
- Geographic diversification
- Liquidity profile

Form:

- F-02.1.1-A Investment Strategy Document
- F-02.1.1-B Sector Allocation Matrix

Controls:

- Annual board approval
- Variance trigger at ±10% allocation deviation
- Quarterly compliance review

02.1.2 Investment Mandate Procedure

- Define return expectations (IRR, MOIC, Yield)
- ESG requirements
- Capital deployment horizon
- Leverage constraints

Form: F-02.1.2-A Investment Mandate Approval Sheet

02.2 Deal Sourcing & Origination

02.2.1 Deal Sourcing Policy

Channels:

- Direct sourcing
- Brokers
- Partnerships
- Off-market opportunities

02.2.1.1 Opportunity Registration Procedure

- Register deal in Deal Log
- Assign Deal Owner
- Conflict of interest check

Form:

- F-02.2.1-A Deal Intake Form
- F-02.2.1-B COI Declaration

Controls:

- Segregation of duties
- Mandatory deal ID tracking

02.3 Screening & Pre-Assessment

02.3.1 Initial Screening Procedure

- Strategic fit score
- Financial viability score
- Risk heat map
- ESG red flags

02.3.1.1 Scoring Matrix

Score 1–5 across:

- Strategic alignment
- Market attractiveness
- Sponsor quality
- Risk profile
- Expected returns

Form: F-02.3.1-A Investment Screening Scorecard

Decision Gate:

- ≥3.5 proceed to DD
- <3.5 reject

02.4 Due Diligence

02.4.1 Due Diligence Policy

Scope:

- Financial
- Legal
- Technical
- Market
- ESG
- Tax

02.4.1.1 Financial DD Procedure

- Historical financial review
- Cash flow sustainability
- Debt structure
- Sensitivity testing

02.4.1.2 Legal DD Procedure

- Title verification
- Contract review
- Regulatory compliance

02.4.1.3 Technical DD Procedure

- Asset condition
- CapEx requirements
- Operational efficiency

02.4.1.4 ESG DD Procedure

- Environmental risks
- Governance assessment
- Social impact

Forms:

- F-02.4.1-A DD Checklist
- F-02.4.1-B Risk Register
- F-02.4.1-C ESG Assessment Sheet

Controls:

- Independent reviewer validation
- Red-flag escalation protocol

02.5 Financial Modeling & Valuation

02.5.1 Valuation Policy

Accepted methodologies:

- DCF
- Comparable transactions
- NAV
- IRR hurdle approach

02.5.1.1 Financial Model Development Procedure

- Base case
- Downside case
- Upside case
- Stress testing

Outputs:

- IRR
- NPV
- Payback
- Sensitivity tornado

Form: F-02.5.1-A Investment Model Summary Sheet

Control:

- Model audit trail
- Peer review sign-off

02.6 Investment Committee & Approval

02.6.1 IC Governance Policy

- Quorum rules
- Voting thresholds
- Escalation rules

02.6.1.1 IC Submission Procedure

- Investment memo template
- Risk summary
- ESG statement
- Financial summary

Form:

- F-02.6.1-A Investment Memo
- F-02.6.1-B IC Decision Log

Control:

- Formal minutes
- Signed resolution

02.7 Transaction Structuring & Execution

02.7.1 Structuring Policy

- Equity vs Debt

- Preferred shares
- Covenants
- Security structure

02.7.1.1 SPA / SHA Execution Procedure

- Legal drafting
- Final valuation confirmation
- Closing checklist

Form: F-02.7.1-A Closing Checklist

Controls:

- Dual signature authority
- Funds release authorization protocol

02.8 Portfolio Monitoring & Value Creation

02.8.1 Monitoring Policy

KPIs:

- Financial
- Operational
- ESG
- Risk indicators

02.8.1.1 Quarterly Review Procedure

- Variance analysis
- Cash flow monitoring
- Covenant compliance

Forms:

- F-02.8.1-A Portfolio KPI Dashboard
- F-02.8.1-B Risk Monitoring Log

Control:

- Early warning trigger system
- Portfolio rating update

02.9 Exit Strategy & Divestment

02.9.1 Exit Policy

Options:

- Trade sale
- IPO
- Secondary sale
- Asset liquidation

02.9.1.1 Exit Readiness Assessment

- Market timing
- Valuation benchmarking
- Legal preparation

Form: F-02.9.1-A Exit Readiness Checklist

02.10 Investment Risk & Compliance Controls

Aligned with:

- COSO ERM
- ISO 37301 Compliance

02.10.1 Risk Categorization

- Market risk
- Liquidity risk
- Credit risk
- Operational risk
- Regulatory risk

02.10.1.1 Risk Scoring Matrix

Likelihood × Impact

Control Framework Table Example

Risk	Preventive Control	Detective Control	Owner	Frequency

Overvaluation	Independent valuation	Model audit	CFO	Pre-IC
Legal non-compliance	Legal DD	Compliance review	Legal	Pre-closing
Concentration risk	Allocation cap	Quarterly exposure review	IC	Quarterly

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02.11 Documentation & Records Management

02.11.1 Investment Documentation Policy

- Central repository
- Version control
- Confidentiality classification

02.11.1.1 Archiving Procedure

- Secure storage
- Retention schedule (7–10 years)

Governance Linkage (Cross-Reference to 01_Governance)

Investment Stage	Approval Authority	Escalation Path
Strategy	Board	Shareholders
Deal Screening	CIO	IC
Final Approval	IC	Board
Exit	IC + Board	N/A

Deliverables + forms

1. Full Investment BPMN Diagrams (Sourcing → Exit flow)
2. Governance Risk & Control Matrix (Excel-grade structure)
3. Complete Forms Library (ready templates)
4. Investment Memo Template (consulting-grade)
5. Portfolio Dashboard KPI Architecture
6. Risk Heat Map Model
7. Digital Workflow Logic (for ERP / SharePoint)

Forms and templates

End of document